how to calculate earnings per share?

Earnings Per Share (EPS) measures how much profit a company earns **for each outstanding share of its stock**. It's one of the most important indicators of company profitability.

✅ Basic EPS Formula

$$\mathbf{EPS} = \frac{\text{Net Income} - \text{Preferred Dividends}}{\text{Weighted Average Number of Ordinary Shares Outstanding}}$$

📌 Step-by-Step Explanation

1️⃣ Net Income

- The company's **total profit after taxes**.
- Found in the income statement.

2️⃣ Subtract Preferred Dividends (if any)

- Preferred shareholders get paid before ordinary shareholders.
- If there are **no preferred shares**, this value = 0.

3️⃣ Weighted Average Shares Outstanding

- The average number of shares during the reporting period.
- Used because companies may issue or buy back shares during the year.

🧮 Example Calculation

Suppose a company has:

- Net income = **$5,000,000**
- Preferred dividends = **$500,000**
- Weighted average shares outstanding = **1,500,000 shares**

Step 1: Adjust profit

$$5,000,000 - 500,000 = 4,500,000$$

Step 2: Divide by shares

$$EPS = \frac{4,500,000}{1,500,000} = 3.00$$

✅ **EPS = $3.00 per share**

📊 Types of EPS (important in finance exams & analysis)

1. Basic EPS

Uses current shares only (formula above).

2. Diluted EPS

Accounts for potential extra shares from:

- stock options
- convertible bonds
- warrants

Diluted EPS is usually **lower** because more shares may exist in the future.

💡 How to Interpret EPS

- Higher EPS → generally more profitable company.
- Increasing EPS over time → positive growth signal.
- Used in valuation ratios like:

$$\text{P/E Ratio} = \frac{\text{Share Price}}{\text{EPS}}$$

If you want, I can also show:

✅ how to calculate **weighted average shares** (students often find this tricky)

✅ a quick exam-style example

✅ how EPS appears in real company financial statements (Apple/Tesla example)

what is P/E

P/E stands for **Price-to-Earnings Ratio** — one of the most commonly used measures to value a company's stock.

✅ P/E Ratio Formula

$$\mathbf{P/E\ Ratio} = \frac{\text{Market Price per Share}}{\text{Earnings Per Share (EPS)}}$$

📌 What It Means (Simple Idea)

The P/E ratio tells you:

👉 **How much investors are willing to pay for $1 of a company's earnings.**

🧮 Example

Suppose:

- Share price = **$50**
- Earnings per share (EPS) = **$5**

$$P/E = \frac{50}{5} = 10$$

✅ The P/E ratio is **10**

This means investors are paying **$10 for every $1 of earnings**.

📊 How to Interpret P/E

🔷 High P/E

- Investors expect **future growth**
- Common in tech or growth companies
- Stock may be expensive (or optimistic expectations)

🔷 Low P/E

- Company may be undervalued
- Or growth expectations are low
- Sometimes signals risk or declining business

📈 Types of P/E

1️⃣ Trailing P/E

- Uses **past earnings** (last 12 months)
- Based on actual results

2️⃣ Forward P/E

- Uses **forecasted future earnings**
- Based on analyst expectations

💡 Why Investors Use P/E

- Compare companies in the same industry
- Judge if a stock looks cheap or expensive
- Helps in investment decisions

Quick Connection (important)

You already learned:

$$EPS = \frac{\text{Profit}}{\text{Shares}}$$

So:

$$P/E = \frac{\text{Price}}{\text{Profit per share}}$$

👉 It links **market value** (price) with **company profitability** (earnings).

If you want, I can also explain **P/E intuitively in 30 seconds** (the “years to recover investment” way — very helpful for exams and interviews).

Gestalt Principle of Proximity - Related financial metrics are grouped together, making it easier for viewers to interpret performance trends. Grouping profit and cost together allows investors to quickly see that: profits are increasing, costs are decreasing, operations are improving - say this abit shorter

Gestalt Principle of Proximity: Related financial metrics are grouped together, making it easier to interpret performance trends. For example, placing profit and cost together helps investors quickly see that profits are rising while costs are falling, indicating improved operations.

Cognitive Load: there is a clear column to compare 1H26 and 1H25 metrics to see improvement in proficts and decreases in expenses to grab viewers attention. The right side bullet summary also gives an clear explanation on the important aspects the table displays - say this nicer

Cognitive Load: A clear column layout allows viewers to easily compare 1H26 and 1H25 metrics, highlighting improvements in profits and reductions in expenses. The bullet summary on the right also provides a concise explanation of the key insights shown in the table, helping viewers quickly understand the main takeaways.

Net revenue increased due to higher average FUMA, partially offset by margin impacts, including pricing reductions to MasterKey & Plum • Base opex declined as the cost out benefits continue to deliver, offsetting cost inflation and opex investment • Reinvestment opex is now

reported “above the line” and includes costs associated with the Master Trust transformation, as well as additional investment in Wrap capabilities, AI and data; prior year costs relate to early reinvestment in transition to SS&C • Improved NPAT driven by the conclusion of legacy transformation and separation initiatives and no new remediation provisions - what does this information presented in the slide, talk about in simple terms

In **simple terms**, the slide is explaining **why the company’s financial performance improved**.

Here’s the meaning of each point in plain language:

- **Net revenue increased** because the company managed **more client funds (higher FUMA)**, although some of the growth was reduced because they **lowered prices for some products (MasterKey & Plum)**.
- **Operating expenses went down** because the company’s **cost-cutting efforts are working**, even though inflation and some new spending increased costs slightly.
- Some **investment costs are now shown differently in the financials**, including spending on:
  - improving **platform technology (Wrap capabilities)**
  - **AI and data systems**
  - changes to their **Master Trust system**.
- **Profit (NPAT)** improved mainly because **large past projects and restructuring work have finished**, and the company **did not need to set aside money for new remediation or issues**.

✅ **Overall message of the slide:**
The company’s **profits improved because revenue grew, costs were reduced, and major transformation projects were completed.**

Friction exists in the sense in the right hand summary the positive metrics are more summarized than the weaker metrics like the decline in net revenue margin is not much empahsied. This is so people pay less attention to weaker numbers and to create positive overall good impression

on stakeholders. This selective highlighting suggests that the visual narrative may guide viewers toward a more optimistic interpretation of the results. However overall the slides do match the data of part A in terms that the company profits increasing - say this nicer

There is some friction in the presentation because the positive metrics in the right-hand summary are emphasized more clearly than the weaker metrics. For example, the decline in net revenue margin is mentioned but not strongly highlighted. This can guide viewers to focus more on the positive aspects of the results and create a more favourable overall impression for stakeholders. The selective emphasis suggests that the visual narrative encourages a more optimistic interpretation of the performance. However, overall the slides are still aligned with the data in Part A, which shows that the company's profits have increased.